

Revenue Recognition policy

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1. OBJECTIVE

The objective is to provide information to all a revenue recognition policy as your company's official rulebook for counting income. It clearly defines *when* and *how* you record the money you earn from customers in **Orvion IntelliAct Automation Pvt Ltd** .

2. APPLICABILITY/SCOPE OF COVERAGE

This formal document ensures that your financial reporting is consistent, accurate, and compliant with accounting standards like GAAP (Generally Accepted Accounting Principles). Whether you sell one-time products, complex subscriptions, Complex projects, Man power provision to customer, or project-based services, your policy dictates the precise moment you can add that income to your books. It removes guesswork and subjectivity from your accounting process, creating a clear and auditable trail for every dollar earned. Having a solid policy is the first step toward building trustworthy financial statements that accurately reflect your company's performance.

3. STEPS OF REVENUE RECOGNITION

- **Standard Revenue Recognition**
- **Time Related Revenue Recognition**
- **Service / Milestone Based Revenue Recognition**

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3.1 Standard Revenue Recognition

In this Revenue recognition method, the Invoice amount is posted into the Revenue accounts or Revenue is realized as soon as the Invoice is created. No Amount is posted to the deferred. At the time of invoice, Customer G/L Account is debited, and Revenue account is credited. Short Term Subscription Items, Software Sales, one time service /training follows the Standard Revenue Recognition Method. No Contract agreement would be created for one-time sales. In this method a sales order is created followed by delivery. When delivery is invoiced, the transaction amount is posted into Revenue accounts.

Example 1: In this case of supply, the sub-vendor dispatches the goods directly to the site after our/customer clearance. After dispatch, the sub-vendor shares the dispatch documents (Tax Invoice and LR copy) with us. Based on these documents, we raise the invoice to the customer. Once the invoice is raised, the amount is recorded in the revenue account.

Example 2: In this case of supply, the sub-vendor dispatches the goods directly to our office or factory for Factory acceptance Test (FAT) with customer. Our team make system ready and do the FAT with customers. After Factor Acceptance Test (FAT), we will dispatch the goods to Site and Based on these documents, we raise the invoice to the customer. Once the invoice is raised, the amount is recorded in the revenue account.

Example 3: In this case of Site services, the sub-vendor completes the site and service activities. After completion, the sub-vendor submits the site measurement sheet along with their invoice to us. Based on these documents, we raise the invoice to the customer. Once the invoice is raised, the transaction amount is recorded in the revenue account.

Example 4: In this case of manpower services, our engineers are deputed to the site for commissioning or engineering activities. Upon completion of the activities, the engineer submits the site timesheet to us. Based on this, we raise the invoice to the customer. Once the invoice is raised, the transaction amount is recorded in the revenue account.

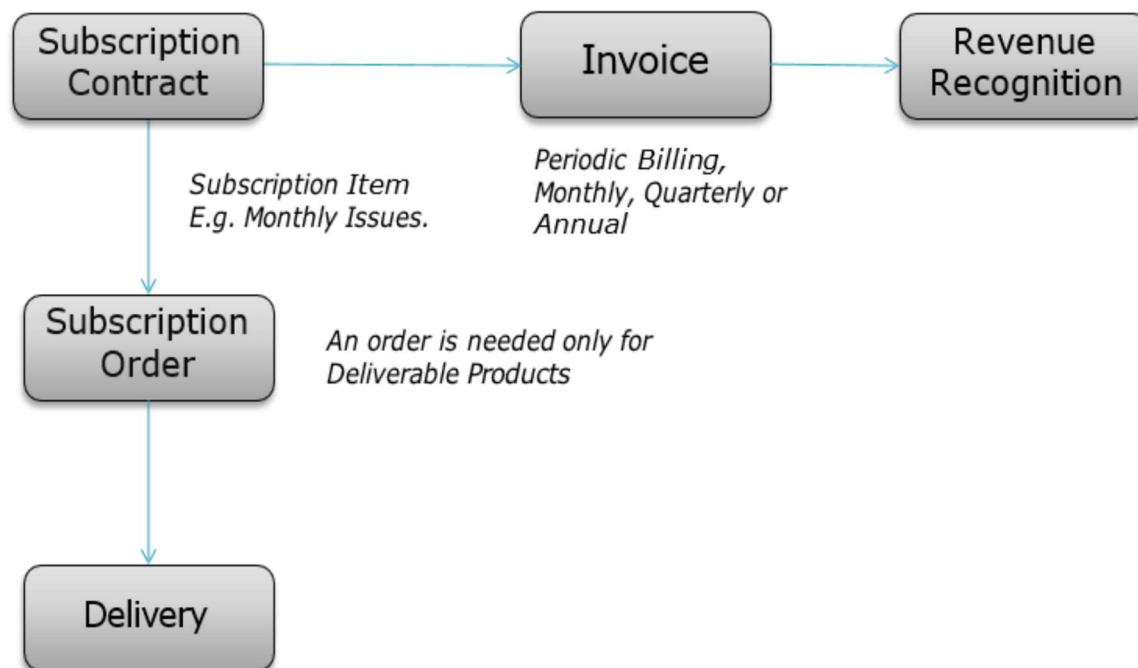
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3.2 Time Related Revenue Recognition

In this recognition method, revenue is recognized at a particular period (E.g. Monthly / Quarterly) for the services or Item sold in that period. Subscription Item, Annual Maintenance Contract (AMC), Comprehensive Annual Maintenance Contract (CAMC), Renewable Items follow the Time-Based Revenue Recognition Method. For the Subscription Products, Customer either pays upfront for the whole subscription term (Annual) or on a monthly or Quarterly basis (Monthly or Quarterly billing). At the time of invoice the Customer G/L Account is debited and Deferred Account is Credited. Revenue is recognized from the Invoice at the end of each month for the subscription or services that were rendered during

Example 1: Customer issue the order to us for 3 years of contract and agreed payment terms are with monthly basis and based on this, we raise the invoice to the customer. Once the invoice is raised, the transaction amount is recorded in the revenue account

Example 2: Customer issue the order to us for 3 years of contract and agreed payment terms are with Quarterly basis and based on this, we raise the invoice to the customer in every quarter. Once the invoice is raised, the transaction amount is recorded in the revenue account



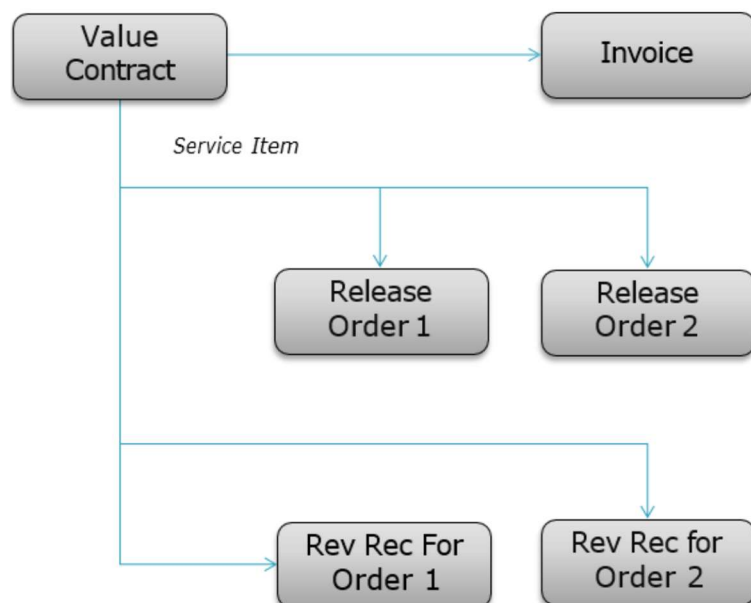
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3.3 Service / Milestone Based Revenue Recognition

Milestone contracts, Partial Milestone Contracts, Reimbursable Item and Service Items follow the Service Based Revenue Recognition Method. In milestone contracts, a contract is set up for the agreed amount. When a service is requested by customer during the contract term, Release order is created for the contract with Service Items. These services are Invoiced and revenue is recognized from the release Order.

Customer is billed as when the services are provided. E.g. A contract is set up with the customer for an amount of 10,000. A release order is created for a service say training with a cost of 5,000. Customer is invoiced for 5,000 and the revenue is later recognized at the month end from the release order for the amount of 5000. In Partial milestone contracts, a contract is created for the agreed amount and the customer is invoiced for the complete contract amount.

When a service is requested by a customer, Release orders are generated for the service and the revenue is recognized from the Contract for the amount of service provided. E.g. A contract is set up with the customer for an amount of 10,000. Customer is invoiced for 10,000 there by debiting AR and crediting Deferred. A release Order is created for service Item for 5000 and the revenue is recognized from Contract. The Revenue recognition process debits the deferred by 5000 and credits the Revenue Account by 5000



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Guidelines:

- **Identify the contract with a customer:** The contract must be approved, have identifiable rights and payment terms, and possess commercial substance and booked in Zoho as a Sales Order
- **Identify performance obligations:** Identify all distinct promises to deliver goods or services.
- **Determine the transaction price:** Determine the amount of consideration expected to be received, separate the breakup, wherever possible for the Supply as well as service.
- **Allocate the price:** Allocate the transaction price to each performance obligation based on standalone selling prices while submitting the bid to customers.
- **Recognize revenue:** Record revenue when (or as) the entity satisfies a performance obligation, either over time or at a specific point in time

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4. DISCLAIMER

This Policy is not intended to create contractual obligations. Employment with the Company is at will, and where otherwise permitted by law, which means that either the Company or the employee may terminate the employment relationship at any time and for any reason, without notice. The Company reserves the right to modify, amend, or terminate this Policy at any time. This Policy supersedes any prior policies of **Orvion IntelliAct Automation Pvt Ltd.**

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5. REVISION HISTORY

Orvion IntelliAct Automation Pvt Ltd	Policy no: IAPL-Pol-09
Title : Revenue Recognition policy	Revision status: 0
Approved by : CEO and Director	Date of Applicability: 1 st Dec 2024
Revised by :	No of Pages: 8